STANDARD OPERATING PROCEDURE: DAMAGED & DEFECTIVE INVENTORY RECEIVING

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1. PURPOSE & APPLICABILITY

Establishes mandatory dock intake protocols when freight shipments arrive showing carton crushing, punctured seals, moisture exposure, or pallet destabilization.

Applies across all Regional Distribution Centers (LOC-DC-01 through LOC-DC-04) and partner 3PL intake locations.

2. INBOUND DOCK INSPECTION & PROOF OF DELIVERY (POD)

Step 2.1: Inspect physical outer packaging before driver departure and prior to signing the electronic Bill of Lading (BOL).

Step 2.2: Note damage explicitly on the carrier Proof of Delivery (POD) endorsed by the transport driver's signature.

Step 2.3: Take at least 4 high-resolution digital photographs capturing outer shipping carton, carrier tracking label, and inner product SKU barcode.

3. SYSTEM LOGGING & QUARANTINE PROTOCOL

Step 3.1: Log item quantity in WMS under dedicated inventory attribute 'DAMAGED_QTY'. These units are immediately excluded from available stock.

Step 3.2: Move compromised stock directly into secure holding bay 'ZONE-Q-SECURE' pending vendor credit approval.

Step 3.3: Automatic WMS webhook triggers freight insurance notification within twenty-four (24) operational hours.

4. CLAIMS FILING & VENDOR DISPOSITION

Claims for damaged inbound deliveries must be formally filed with carrier and supplier within three (3) business days.

Write-off approval threshold: Authorizations under $500 require DC Supervisor sign-off; amounts above $500 require Regional Director approval.